Salary Bands and Progression Guide

US base salary ranges, placement, review, and approval rules

Owner	People Operations - Compensation
Effective date	January 1, 2026
Currency	USD annual base salary
Review cycle	Annual

1. Purpose and scope

This guide explains the Northstar Labs base-salary structure for US-based full-time roles. It supports consistent hiring, review, promotion, and internal-equity decisions. It does not promise a particular salary, increase, bonus, equity award, or future employment term.

Effective January 1, 2026. Currency: USD annual base salary. Owner: People Operations, Compensation. Questions: compensation@northstarlabs.example.

2. Salary bands

Band	Typical scope	Minimum	Midpoint	Maximum
Band 1	Entry / developing	$32,000	$38,000	$44,000
Band 2	Skilled individual contributor	$45,000	$52,000	$59,000
Band 3	Experienced / independently scoped	$60,000	$68,000	$76,000
Band 4	Senior / leads complex work	$78,000	$88,000	$98,000
Band 5	Staff / cross-functional authority	$101,000	$116,000	$131,000
Band 6	Principal / enterprise authority	$136,000	$156,000	$176,000

The midpoint represents the market reference for a consistently proficient employee performing the full role. The minimum is normally used for employees building capability in the role. The maximum recognizes sustained expertise without requiring a promotion into a role with larger scope.

3. Placement within a band

3.1 New hires

Recruiters propose a salary after considering relevant skills, experience, role scarcity, location, internal peers, and the approved position budget. Most new-hire offers fall between 85% and 100% of midpoint. Placement below 85% or above midpoint requires written Compensation approval. An offer above the band maximum requires the Chief People Officer and CFO.

3.2 Compa-ratio

Compa-ratio equals current base salary divided by the band midpoint. A salary of USD 61,200 in Band 3 has a compa-ratio of 90%. Compa-ratio is a diagnostic measure; it is not a performance rating and does not create an entitlement to move to midpoint.

Compa-ratio	General interpretation	Typical review focus
Below 0.85	Early development or possible pay gap	Confirm leveling, performance, and internal equity
0.85-0.99	Developing to fully proficient	Progression, sustained capability, market movement
1.00-1.10	Fully proficient to highly experienced	Sustained impact and peer alignment
Above 1.10	Advanced placement	Role scope, compression, and whether re-leveling is appropriate

4. Annual compensation review

People Operations publishes the annual review calendar and budget after leadership approval. Managers submit recommendations, but increases are not final until Compensation and Finance complete calibration and the employee receives written confirmation. Review inputs include sustained performance, position in range, internal equity, market movement, critical skills, and available budget.

- Employees hired on or after October 1 are normally ineligible for the next standard merit increase but may receive a market correction if approved.
- Leave of absence does not automatically reduce an increase; decisions must follow applicable law and evaluate the review period fairly.
- A one-time bonus must not be used to hide a persistent base-pay equity issue.
- Managers must not communicate a proposed amount before final approval.

5. Promotions, transfers, and market adjustments

5.1 Promotion

A promotion requires evidence that the employee is performing a role with materially greater scope and accountability, an approved position, and updated job documentation. The normal promotional increase is the greater of 8% or the amount needed to reach the new band minimum. Total increases above 15%, or placement above the new midpoint, require the Chief People Officer and CFO.

5.2 Lateral transfer

A transfer to a role in the same band does not automatically change salary. Compensation reviews differences in location, market, skill scarcity, and internal equity. A move to a lower-banded role may preserve salary temporarily, but any red-circle treatment must be documented with future review rules.

5.3 Market and equity adjustment

A market adjustment responds to reliable labor-market movement or a persistent hiring gap. An equity adjustment addresses an unexplained pay difference among employees doing comparable work. Managers submit evidence to Compensation; self-reported external offers are context but are not, by themselves, proof of market rate.

6. Geographic and work-schedule treatment

The table shows the reference range for the standard US compensation zone. A permanent location change may cause a prospective adjustment based on the approved location framework. Any adjustment must be communicated in writing before the move. Part-time salaries are prorated from the full-time range based on scheduled weekly hours; the employee's band and full-time-equivalent rate remain visible in HR records.

7. Bonus, equity, and overtime

Salary bands cover base salary only. Annual incentive targets, sales commissions, equity, benefits, allowances, shift premiums, and overtime are governed by separate plans. Non-exempt employees remain eligible for overtime according to law regardless of band. No manager may exchange legally required overtime for a discretionary bonus or informal time off.

8. Governance and employee questions

Compensation reviews the band structure at least annually using reputable market surveys and internal data. Changes to ranges do not automatically change employee salaries. Employees may ask their manager for their band and may request a Compensation review through people@northstarlabs.example. The review will explain the process and confirm data accuracy but will not disclose another employee's compensation.

Decision	Required approvals
New hire at or below midpoint	Hiring manager, Finance position owner, Compensation
New hire above midpoint	VP, Compensation
Salary above band maximum	Chief People Officer and CFO
Promotion increase up to 15%	VP, Compensation, Finance
Promotion increase above 15%	Chief People Officer and CFO
Market or equity adjustment	Compensation and Finance; executive approval if outside range